ERA 5

Shaping a New Republic

1789 – 1797

Washington's presidency · Hamilton's financial plan · neutrality

ESSENTIAL QUESTION

How did Washington's administration set precedents that still shape American government and foreign policy?

KEY TERMS

Neutrality Proclamation · Jay's Treaty · Whiskey Rebellion · Hamilton's financial plan · national bank

ALIGNED TO

CED Topic 3.10 · AMSCO Ch. 3.10

ERA 5 · EARLY REPUBLIC

EVERY CHOICE BECOMES A PRECEDENT

Governing Without a Map

Washington Sets the Precedents

I

The Cabinet

Created executive departments—State, Treasury, War—and a **cabinet** of advisors still used today.

II

Two Terms

Voluntarily stepped down after two terms, a **precedent** unbroken until 1940.

III

Neutrality

Kept the fragile new nation **neutral** in Europe's wars.

IV

Federal Force

Used the army to enforce federal law at home.

SECTION

Foreign Policy: Staying Neutral

Keeping Out of Europe's Wars

1793

Neutrality Proclamation

Washington declares the U.S. neutral in the Anglo-French war.

1794

Jay's Treaty

Eases tensions with Britain and avoids war—though unpopular.

1795

Pinckney's Treaty

Spain grants access to the Mississippi and New Orleans.

Revolution Divides America



- In 1793 revolutionary **France** went to war with Britain and Spain.
- The 1778 alliance still bound the U.S. to France—but another war would be ruinous.
- Washington issued the **Neutrality Proclamation**, keeping America out of the conflict.

Two Treaties, Two Neighbors

Jay's Treaty

1794 · with Great Britain

- Britain agreed to abandon its forts in the Northwest.
- Avoided war, but failed to stop the **impressment** of U.S. sailors.
- So unpopular that John Jay was burned in effigy.

Pinckney's Treaty

1795 · with Spain

- Opened the **Mississippi River** to American trade.
- Granted the vital 'right of deposit' at New Orleans.
- A popular diplomatic win, especially for western farmers.

SECTION

Securing the West

The Whiskey Rebellion, 1794

CAUSE

An Excise Tax

Hamilton's tax on whiskey angers cash-poor frontier farmers.

→

REACTION

Armed Revolt

Western Pennsylvania farmers refuse to pay and attack tax collectors.

→

RESPONSE

Federal Force

Washington personally leads ~13,000 militia into the field.

→

RESULT

Authority Proven

The revolt collapses—the new government CAN enforce its laws.

Federal Power Made Real

- Washington became the only sitting president to **lead troops** in the field.
- The show of strength stood in sharp contrast to the failures under the Articles of Confederation.
- It proved the federal government could **enforce national law** across the states.



Conflict on the Frontier



- U.S. expansion sparked war with Native nations in the Northwest Territory.
- Victory at Fallen Timbers led to the **Treaty of Greenville** (1795).
- Native nations ceded much of present-day Ohio, opening it to settlers.

SECTION

Hamilton's Financial Plan

Four Pillars of Hamilton's Plan

I

Assume State Debts

The federal government absorbs states' war debt to build national credit.

II

National Bank

A **Bank of the United States** to hold funds and issue currency.

III

Protective Tariff

Import taxes to shield young American industry.

IV

Excise Taxes

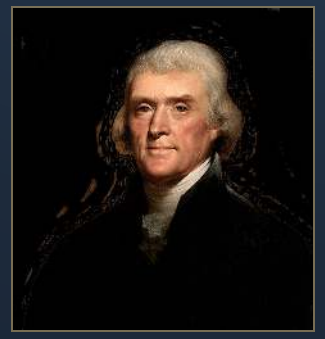
Internal taxes—like the whiskey tax—to raise revenue.

The Bank of the United States

- **Hamilton** argued a **national bank** was **"necessary and proper."**
- Jefferson called it unconstitutional—the Constitution never grants such a power.
- Washington sided with **Hamilton**; the **Bank** was chartered in 1791.



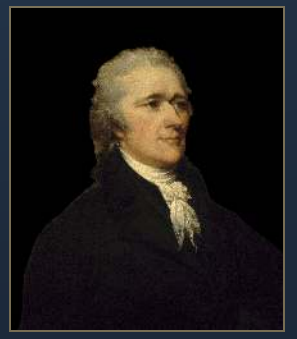
Strict vs. Loose Construction



Jefferson & Madison

Democratic-Republicans

- Read the Constitution **strictly**—only the powers it names.
- Feared a too-powerful central government.
- Envisioned an agrarian republic of independent farmers.



Alexander Hamilton

Federalists

- Read the Constitution **loosely**—implied powers are allowed.
- Wanted an energetic, strong national government.
- Envisioned a future of commerce, banking, and industry.

How a Financial Plan Split the Nation

SPARK

Hamilton's Program

Favors merchants, creditors, and the North.

→

DEBATE

The Constitution

Strict vs. loose construction over federal power.

→

RESULT

The First Parties

Americans divide into Federalists and Democratic-Republicans.

SECTION

The First Party System

Federalists vs. Democratic-Republicans

	FEDERALISTS	DEMOCRATIC-REPUBLICANS
Leaders	**Hamilton**, Adams	Jefferson, Madison
Base of Support	Merchants, bankers, the North	Farmers, planters, South & West
Economy	Manufacturing, banking, trade	Agriculture & the yeoman farmer
Government	Strong central government	Strong state governments
Constitution	**Loose construction**	**Strict construction**
Foreign Sympathy	Great Britain	France

1796

Washington's Farewell

Washington's Farewell Address



- Declined a third term, cementing the **two-term precedent**.
- Warned that **political factions** could tear the young nation apart.
- Urged Americans to **avoid permanent foreign alliances**.
- Cautioned against sectional divisions between North and South.

KEY TAKEAWAYS

Shaping a New Republic

1. With no rulebook, Washington set enduring **precedents**—the **cabinet**, the two-term limit, neutrality abroad, and federal force at home.

2. **Hamilton's financial plan** (debt **assumption**, a **national bank**, tariffs, and **excise** taxes) built national credit but ignited a fight over the meaning of the Constitution.

3. The **strict vs. loose construction** debate split the country into the first political parties —**Federalists** and **Democratic-Republicans**.

DISCUSS & APPLY

Shaping a New Republic

AP HISTORICAL REASONING PRACTICE

CAUSATION

Explain the **strict vs. loose construction** debate over the national bank — and why it mattered.

ARGUMENTATION

Which Washington precedent mattered most — **neutrality, federal force, or the two-term limit**? Defend your claim.

CONTEXTUALIZATION

How did the **French Revolution** shape Washington's foreign-policy choices?

Up next — **Lesson 10: The First Party System** (Adams, the XYZ Affair & a new American identity)